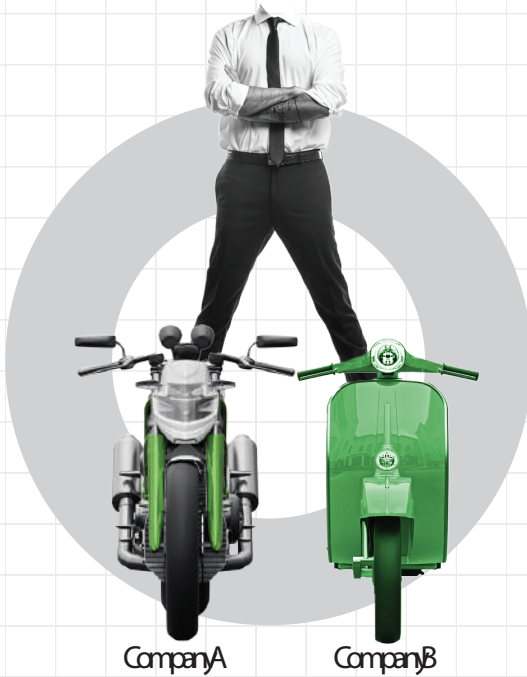


2. COMPETING OBJECTIVES

Let's consider an example where a founder has two companies. Companies A and B are doing different businesses. Let's say company A makes three crore sales per year, while Company B has just started. The founder is raising capital for company B.

For company A, the investors of company B will not get any part of company A. So here, the investor's and the founder's interests are not aligned. The founder has two interests (company A and B), and the investors purely expect them to focus on company B. This is a typical case of competing objectives. So the founder would also want company A to do well in the market. And from the investor's point of view, they would want company B to be doing good in the market because it is where they have invested their money.



Idon'tthinkfounderwillbe abletooverconethisobstacle ashehastwocompanies to focus on.



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